

bankruptcy, putting Wall Street in big trouble. The stock market crashed, losing 46.13 per cent over the course of 18 months from October 2007 to March 2009, but recovered entirely in four years, by 2013. It then continued on a 10-year winning streak, up more than 250 per cent from 2009 to 2019. Again, those who were holding their positions in long-term broad market index funds didn't lose a single penny.

The 2020 COVID-19 crash

When the world went into lockdown, the market momentarily dropped on 9 and 16 March. Investors in training know a crash is a buying opportunity, not a moment to panic. What we didn't know at the time was that the market was going to bounce back incredibly fast: 33 days, to be precise. That's almost half the length of Kim Kardashian's marriage to Kris Humphries. Most analysts predicted the crash would last much longer — after all, these were 'unprecedented times'. To everyone's surprise, the market went on to one of the fastest rises we've had in recent times. And again, those who held didn't lose a single penny.

Investors in training can see a clear pattern throughout history with every market drop. They aren't worried when the market becomes volatile in the short term because, if they are investing their money for the long term, the risk of losing money when investing in a broad market, low-cost fund is low. It's not impossible, but it's incredibly low.

Having this knowledge under your belt provides investors the confidence to ride through the ups and downs of the market.

Myth #2: Investing is like gambling

A lot of people worry that investing is like gambling. Let's role play for a second. Your name is Priya, you're in your best outfit and you're walking up the stairs to a shiny red carpet surrounded by bright flashing lights. It's not the Met Gala, but rather your local casino. You head over to a slot machine, the playful colours inviting you over. As you sit down, you hear the dings of the slot machines around you as players cash out. The sound is purposely engineered to arouse your senses and entice you to play.